

Effectiveness of policies
and
Government failure!



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Effectiveness of different policies

Fiscal

Advantages :

- * Public spending can have a significant impact on the level of aggregate demand in an economy.
- * If the spending is on infrastructure this can help increase economic growth
- * Public spending can help to reduce the level of unemployment in an economy.
- * Direct taxes, such as income tax, can help to redistribute income in an economy.
- * Indirect taxes can be targeted at altering certain kinds of behaviour, such as taxes on demerit goods such as alcohol and tobacco

Issues :

- * There may be a significant time lag before a particular revenue or expenditure

decision begins to take effect, such as between a reduction in income tax and an increase in household spending.

- * The potential benefit of a fiscal decision may not be fully seen because of the existence of information failure.
- * There may be side effects of any fiscal policy, for e.g. unemployment may be reduced, but at the cost of a higher rate of inflation.
- * Changing tax rates, allowances and bands is more complex than changing interest rates as a part of monetary policy.
- * Higher taxes may possibly have a disincentive effect on work and enterprise, for example, higher taxes may encourage people to work less so as to have more leisure time.
- * A government needs to be able estimate reasonably accurately the likely effects of any change in taxation and/or public expenditure, otherwise the desired objectives may not be achieved.
- * Some decisions that are justified by economic reasoning may not be taken by

a government for political reasons, especially if an election is due in the not-too distant future.

Crowding out and crowding in:

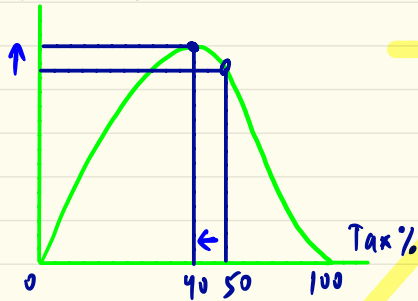
There is a debate among economists as to whether higher government spending always results in higher aggregate demand.

New classical economists argue that higher government spending, financed by increased borrowing, reduces funds available to lend to the private sector and drives up the rate of interest. The reduction in the funds available and the rise in the rate of interest reduces consumption and private sector investment. So increased public sector spending crowds out private sector spending. The higher interest rate can also attract foreign financial investment which would increase the exchange rate and reduce net exports.

Keynesians reject the idea that crowding out occurs. They argue that crowding in occurs. This is the view that higher government spending will raise GDP by a multiple amount. The higher income will increase saving, which will provide the funds available to lend. The higher income will also encourage rise in consumption and investment. This would mean that higher public sector spending can increase private sector investment.

The Laffer curve: It shows that when tax rates are high, raising them further will be counterproductive. It was first drawn by a US economist and advisor to President Ronald Reagan, Arthur Laffer, in the early 1970s. Laffer drew the curve to support his view that a cut in tax rates may increase tax revenue by stimulating both total economic activity, because of greater incentive effect and declared economic activity.

Tax revenue



At the tax rate of 0%, there will obviously be no tax revenue. There will also be no tax revenue at 100% as workers will not be prepared to work if all their income goes in tax. The curve suggests there is a tax rate that will generate the most tax revenue. Raising the tax rate beyond this point would reduce tax revenue as it will discourage work and encourage tax evasion. Diagram indicates that a cut in the tax rate from 50% to 40% would increase revenue.

Monetary policy

Advantages:

* Changes in interest rates can have a significant effect on spending in an economy, indicating that demand is interest elastic.

- * A central bank in many countries where it is independent from government can make decisions about changes in interest rates and/or changes in money supply without political interference.
- * Interest rates can be adjusted on a monthly basis; this contrasts with discretionary fiscal policy which cannot be so easily changed at such regular intervals.
- * Interest rate changes can have a relatively immediate effect on levels of confidence in an economy.

Issues:

- * There is a time lag between a change in an interest rate and the impact of that change on an economy; it is difficult to be precise about how long that time lag might be, but a number of economists have suggested that it could be as long as 18 months.
- * Various people in an economy may react differently to a change in interest rates, in other words, not everyone will have the same interest elasticity of demand.

* Any increase in the money supply of an economy, such as through the process of quantitative easing at a time of recession, is likely to have an inflationary effect in that economy, resulting from the increase in the level of aggregate demand.

Quantitative easing has been adopted when interest rates have been low. One limit on monetary policy is that a reduction in the interest rate may have little impact when it is already low. A liquidity trap may occur.

* The accuracy of inflation forecasts may be relatively poor; monetary policy tries to reduce inflationary pressures before they occur, but if inflation is higher than predicted, the interest rate may be too low to effectively control the rate of inflation in an economy.

* An increase in interest rates to control inflation could have a negative effect on other areas of an economy. For example, it could have a negative impact on investment spending and therefore on economic growth and changes in interest rate could also affect the exchange rate and the balance of payments.

* The money supply may be difficult to control in practice

Supply side policy

Market based supply side policy:

Market based supply side policy includes tools that increase the role of market forces: cut in direct tax, cuts in unemployment benefit, privatisation, deregulation and labour market reforms.

Cuts in direct tax and unemployment benefit seek to raise aggregate supply by increasing incentives to work and be entrepreneurial. Privatisation, deregulation and labour market reforms are aimed at raising aggregate supply by increasing competition and reducing cost and effort involved in complying with government rules and regulations. Market based supply side policy may increase economic growth and reduce inflation, but may conflict with the objectives of redistribution of income and lower unemployment. It is also possible that they may reduce rather than increase economic growth.

Cuts in income tax and unemployment benefit are likely to transfer money from people on low incomes to the rich rather than the other way round. Privatisation has resulted in some individuals and group of individuals who have bought out state owned industries becoming very rich. In pursuit of profits, some privatised firms have increased the price of their products, taking a higher proportion of the income of people on low incomes. Labour market reforms, which reduce the power of trade unions and deregulation in the form of the removal of a national minimum wage can also reduce the relative pay

of those on low incomes

Cuts in income tax and unemployment benefit will increase the gap between paid employment and transfer payments, but they will not necessarily increase employment and growth. There may not be job vacancies, the unemployed may lack the skills and qualifications to take those job vacancies that do exist or the jobs may be in different areas to the unemployed.

Cuts in income tax may have unintended consequences. Instead of encouraging workers to work more hours, workers may decide to maintain their current disposable income and take more leisure time. Privatisation may not necessarily increase efficiency and lower costs of production. This is because it does not guarantee increased competition. A state owned industry may be sold off as a monopoly. Even if it is sold off as number of firms, they may later merge to form a monopoly. The removal of rules and regulations may also increase the chances of monopolies occurring. The removal of rules on health and safety may damage the health of workers and result in accidents. These effects could reduce labour productivity and economic growth.

Interventionist supply side policy :

Interventionist supply side policy involves the government taking a larger role in the economy. Its policy tools include government spending on education, training, infrastructure and support for technological improvement. Spending on education and

Training can take some time to have an effect but if they are successful, they have the potential to improve all macroeconomic objectives. They can increase actual and potential economic growth, reduce inflation, improve current account of the balance of the payments, reduce unemployment, increase development and reduce income inequality.

Of course, as previously mentioned, the education and training may be in areas that will not be in demand in the future. Workers may also not take up training opportunities.

Improvements in infrastructure and technology can help a government achieve its macroeconomic objectives. There is a risk, however, that building more roads and airports may create more air and noise pollution and reduce development. Advances in technology may result in some structural unemployment.

Government failure in macroeconomic policies

Miscalculating the size of multiplier: For instance, if a government understates the size of the multiplier, it may increase its spending by too much. This may result in swapping one problem, a negative output gap, with another problem, a positive output gap.

Time lags: As mentioned earlier, in the case of a number of policy tools there may be series of time lags. For e.g. there may be a delay before a government recognises that

inflationary pressure is building up - a recognition lag. There may then be an implementation lag - the time it takes to draw up and introduce a policy tool such as a rise in income tax. There is then the time it takes for the policy tool to influence the behaviour of households and firms - a behavioural lag.

By the time, a policy tool does have an impact on economic behaviour, the level of economic activity may have changed, which may make the policy tool inappropriate. Indeed, governments may seek to use fiscal and monetary policy tools to offset the effects of the business cycle, but these measures sometimes reinforce the business cycle rather than acting counter-cyclically. As well as there being a delay before households, workers and firms react to policy tools, there is the possibility that they may not respond in the expected way. For e.g. during an economic boom a central bank may raise the rate of interest in the expectation that it will encourage saving and discourage borrowing. However, if households and firms are optimistic about future, they may continue to borrow and spend.

Desire to win elections: Some elected governments may be tempted to introduce popular policy tools when elections are approaching. Measures such as increase in government spending on pensions may win votes but may not necessarily improve economic performance.

Pressure groups and corruption: Government policy tools may be influenced by powerful

pressure groups and there is the possibility of government corruption. For instance, past attempts to reduce class sizes and increase resources in education and improve health care in Honduras were hindered by corrupt government officials who stole money from government budgets.